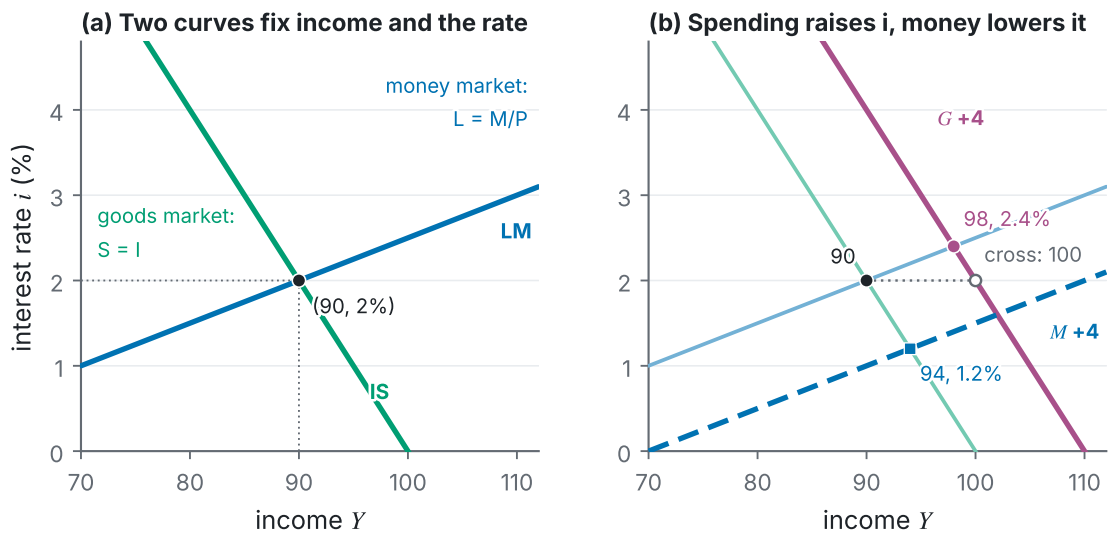
(a) Two curves fix income and the rate
money market:
L = M/P
goods market:
S = I
LM
IS
(90, 2%)
interest rate i (%)
income Y
0
1
2
3
4
70
80
90
100
110
(b) Spending raises i, money lowers it
G +4
98, 2.4%
90
cross: 100
M +4
94, 1.2%
income Y